

Banks Sectorial Credit

Credit growth slowdown a bit

Summary

Credit growth slowed down in January month; it stood at 8.3% YoY as compared to 9.3% YoY in December. Slowdown in the Jan'22 was due to Agriculture and Personal credit. Agriculture credit witnessed downtrend to 10.4% YoY (14.5% YoY in December'21). Industry portfolio growth showed downtick in January month at 6.4% YoY (7.6% YoY in December'21). Overall, the Credit growth slowed down due to slow growth in agriculture sector, Housing finance companies, wholesale trade, Public Financial Institutions. Deposit growth saw fall of 80bps on fortnight basis and growth stood at 9.11% (11th Feb'22) vs 8.31% (28th Jan'22). Among our banking coverage universe, our top picks are HDFC bank (fast revival post normalcy), ICICI Bank (better to weather the storm), and Federal bank (better among midcap banks).

- **Retail credit growth slowed:** Retail growth stood at 11.6%. In January, it reported 11.6% YoY vs 14.3% YoY in December'21. Within retail, Consumer durable portfolio stood at 53.0% YoY vs 55.5% YoY in December'21, Housing growth slowed at 7.6% YoY vs 9.3% YoY in December'21, Credit card growth witnessed downtrend and stood at 9.3% YoY vs 13% YoY in December'21 while Vehicle loans growth slowed at 2.5% YoY vs 8.3% YoY in December'21. Loans against gold Jewellery growth slowed down at 32.9% YoY vs 45.1% YoY in December'21. Other personal loan growth stood at 20.6% YoY.
- **Muted Industry and service credit growth:** Industry credit growth stood at 6.4% YoY vs 7.6% YoY in December'21. Slow growth observed in Medium industry, which stood at 74.7% vs 86.5% YoY. Micro and Small industry maintained growth at 19.7% YoY (vs 20.5% YoY in December'21). Large industry reported growth of 0.5% vs growth of 1.3% YoY in December'21. Service credit growth showed downtrend and stood at 7.3% vs 10.8% YoY in December'21.

BFSI - Rating and Target Price

	Rating	CMP (Rs)	TP (Rs)	Upside (%)	P/ABV (x)	
					FY23E	FY24E
Banks						
HDFC Bank	BUY	1,427	2,020	42	2.9	2.5
Axis Bank	BUY	743	990	33	1.8	1.6
DCB Bank	BUY	73	107	46	0.6	0.5
Federal Bank	BUY	97	123	27	1.0	0.9
ICICI Bank	BUY	742	950	28	2.6	2.1
IndusInd Bank	BUY	921	1,300	41	1.3	1.2
NBFCs						
Cholamandalam Inv.	HOLD	692	720	4	4.9	4.0
Manappuram Fin.	BUY	115	200	74	1.0	0.9
Muthoot Finance	BUY	1,363	1,700	25	2.7	2.3
HFCs						
HDFC	BUY	2,365	3,250	37	3.5	3.2
Repco Home Finance	BUY	190	360	89	0.5	0.5

Source: Company; IDBI Capital Research

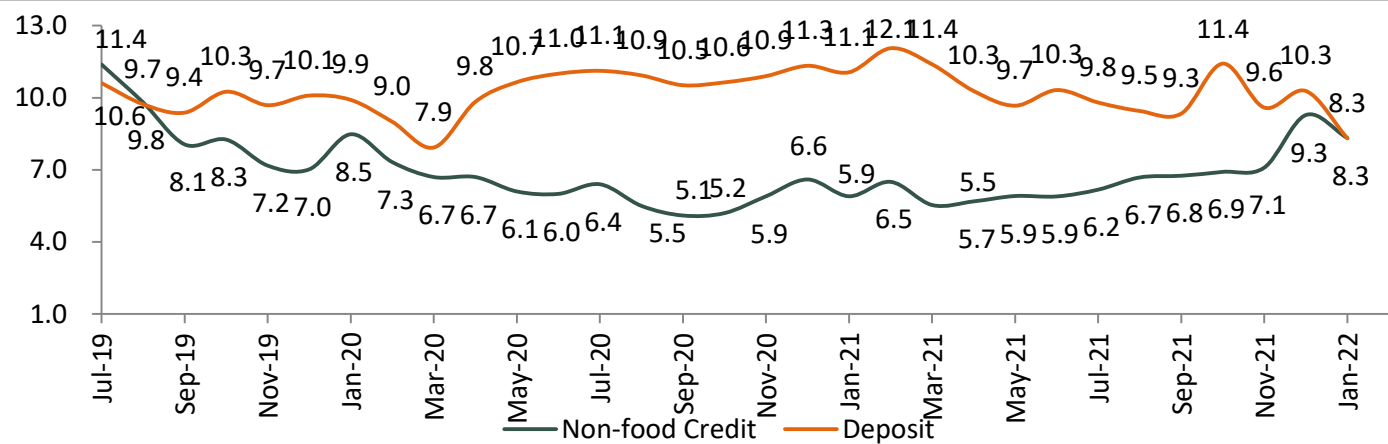
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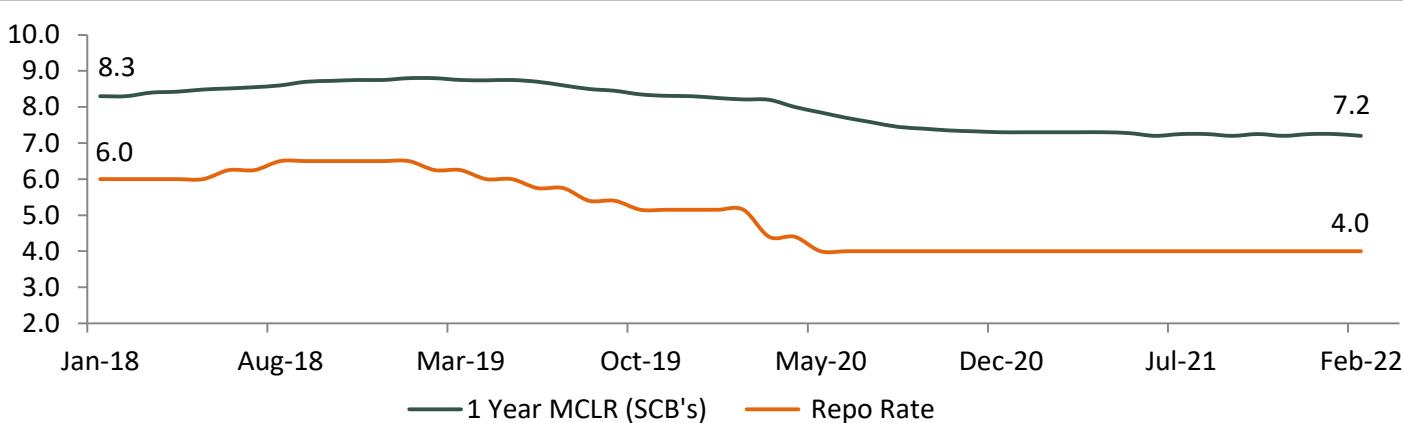
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Exhibit 1: in Non -food Credit and Deposits growth for both slowed down.



Source: RBI; IDBI Capital Research; Note- Deposit growth is on fortnight basis

Exhibit 2: MCLR rate seems to stabilize as majority of rate cuts have been passed



Source: RBI; IDBI Capital Research

Exhibit 3: Sector Credit

(Rs bn)

Sectors	Jan-22	Jan-21	Dec-21	YoY (%)	MoM (%)
Non-Food Credit	1,15,001	1,06,166	1,15,947	8.3	(0.8)
Agriculture and Allied activities	14,327	12,983	14,180	10.4	1.0
Industry (MSME)	30,468	28,642	29,853	6.4	2.1
Micro & Small	4,644	3,879	4,476	19.7	3.8
Medium	2,234	1,279	2,243	74.7	(0.4)
Large	23,590	23,485	23,135	0.5	2.0
Services	29,046	27,075	28,481	7.3	2.0
Transport Operators	1,554	1,407	1,411	10.5	10.2
Computer Software	203	181	197	12.7	3.2
Tourism, Hotels & Restaurants	545	494	528	10.3	3.2
Shipping	69	72	70	(4.9)	(2.2)
Aviation	234	255	122	(8.3)	91.4
Professional Services	1,116	1,050	1,053	6.3	6.0
Trade	6,724	6,006	6,448	12.0	4.3
Wholesale Trade	3,332	2,878	3,299	15.8	1.0
Retail Trade	3,392	3,128	3,149	8.4	7.7
Commercial Real Estate	2,757	2,688	2,709	2.5	1.8
NBFCs	10,142	9,158	10,021	10.7	1.2
Housing Finance Companies	2,327	2,012	2,299	15.7	1.2
Public Financial Institutions	1,224	761	1,080	60.7	13.3
Other Services	5,703	5,765	5,923	(1.1)	(3.7)
Personal Loans	31,805	28,501	30,878	11.6	3.0
Consumer Durables	257	168	131	53.0	96.3
Housing	15,530	14,431	15,214	7.6	2.1
Advances against FDs	700	598	730	17.0	(4.1)
Advances to Individuals	50	40	48	24.4	4.1
Credit Card Outstanding	1,413	1,292	1,247	9.3	13.2
Education	631	646	632	(2.4)	(0.2)
Vehicle Loans	2,815	2,747	2,795	2.5	0.7
Loans against Gold Jewellery	695	523	709	32.9	(1.9)
Other Personal Loans	9,714	8,055	9,371	20.6	3.7

Sectors (Contd...)	Jan-22	Jan-21	Dec-21	YoY (%)	MoM (%)
Priority Sector					
Agriculture & Allied Activities	13,547	12,516	13,464	8.2	0.6
Micro & Small Enterprises	12,441	11,872	12,535	4.8	(0.7)
Medium Enterprises	2,754	1,938	2,765	42.1	(0.4)
Housing	4,807	4,888	4,686	(1.6)	2.6
Education Loans	463	499	469	(7.2)	(1.2)
Weaker Sections	8,752	8,189	8,974	6.9	(2.5)
Export Credit	244	200	315	22.4	(22.6)
Renewable Energy	20	14	18	42.7	11.4
Social Infrastructure	24	25	23	(0.9)	4.9
Others	398	185	193	115.4	106.4

Source: RBI; IDBI Capital Research

Exhibit 4: Industry Credit

(Rs bn)

Sectors	Jan-22	Jan-21	Dec-21	YoY (%)	MoM (%)
Mining & Quarrying (incl. Coal)	478	459	521	4.2	(8.2)
Food Processing	1,658	1,620	1,643	2.4	0.9
Sugar	219	285	207	(23.2)	5.5
Edible Oils & Vanaspati	183	190	194	(3.8)	(5.4)
Tea	51	50	52	2.3	(0.9)
Others	1,205	1,094	1,190	10.1	1.2
Beverage & Tobacco	166	162	158	2.5	5.4
Textiles	2,180	2,139	2,129	1.9	2.4
Cotton Textiles	939	939	918	(0.1)	2.3
Jute Textiles	30	27	30	13.3	1.0
Man-Made Textiles	421	374	427	12.8	(1.2)
Other Textiles	790	799	754	(1.2)	4.7
Leather & Leather Products	112	107	109	4.4	2.7
Wood & Wood Products	147	139	143	6.0	3.4
Paper & Paper Products	385	355	382	8.4	0.6
Petroleum, Coal Products & Nuclear Fuels	754	541	865	39.5	(12.8)
Chemicals & Chemical Products	1,953	1,877	1,983	4.1	(1.5)
Fertiliser	273	410	302	(33.3)	(9.6)
Drugs & Pharmaceuticals	565	518	547	9.0	3.2
Petro Chemicals	374	367	425	1.8	(12.0)
Others	741	582	709	27.5	4.6
Rubber, Plastic & their Products	682	530	653	28.7	4.3
Glass & Glassware	60	71	58	(15.8)	2.5
Cement & Cement Products	471	602	466	(21.7)	1.1
Basic Metal & Metal Product	2,888	3,319	2,864	(13.0)	0.8
Iron & Steel	1,878	2,426	1,873	(22.6)	0.3
Other Metal & Metal Product	1,010	892	991	13.2	2.0

Sectors (Contd...)	Jan-22	Jan-21	Dec-21	YoY (%)	MoM (%)
All Engineering	1,602	1,474	1,559	8.7	2.8
Electronics	383	336	376	13.9	1.9
Others	1,219	1,137	1,183	7.2	3.1
Vehicles, Vehicle Parts & Transport Equipment	889	860	849	3.4	4.8
Gems & Jewellery	743	694	679	7.0	9.4
Construction	972	999	956	(2.7)	1.6
Infrastructure	11,684	10,431	11,355	12.0	2.9
Power	5,955	5,655	5,916	5.3	0.6
Telecommunications	1,274	910	1,140	40.0	11.7
Roads	2,625	2,138	2,489	22.8	5.5
Airports	65	72	75	(9.8)	(14.0)
Ports	71	80	73	(11.5)	(2.2)
Railways (other than Indian Railways)	102	115	101	(11.4)	0.7
Other Infrastructure	1,592	1,461	1,561	9.0	2.0
Other industries	2,644	2,266	2,481	16.7	6.6
Industries	30,468	28,642	29,853	6.4	2.1

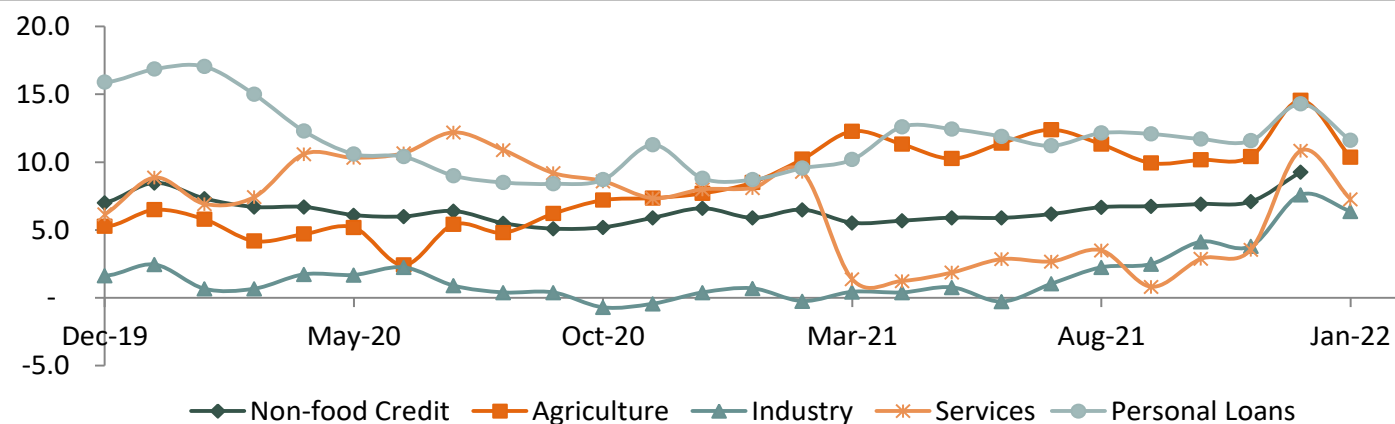
Source: RBI; IDBI Capital Research

Exhibit 5: Bank group wise MCLR (1 year)

Months	Public sector Banks			Private sector Banks			Foreign Banks			SCBs		
	Min	Max	Median	Min	Max	Median	Min	Max	Median	Min	Max	Median
Aug-2021	7.00	7.50	7.30	7.20	9.40	8.23	3.92	9.75	5.86	3.92	9.75	7.25
Sep-2021	7.00	7.45	7.30	7.20	9.40	8.23	4.18	9.75	5.75	4.18	9.75	7.20
Oct-2021	7.00	7.45	7.25	7.20	9.30	8.15	3.85	9.75	5.43	3.85	9.75	7.25
Nov-2021	7.00	7.45	7.25	7.20	9.30	8.15	3.42	9.75	5.65	3.42	9.75	7.20
Dec-21	7.00	7.45	7.25	7.20	9.30	8.20	3.87	9.75	5.80	3.87	9.75	7.25
Jan-2022	7.00	7.45	7.25	7.20	9.30	8.15	3.58	9.75	6.05	3.58	9.75	7.25
Feb-2022	7.00	7.45	7.25	7.20	9.30	8.19	3.75	9.75	6.05	3.75	9.75	7.20

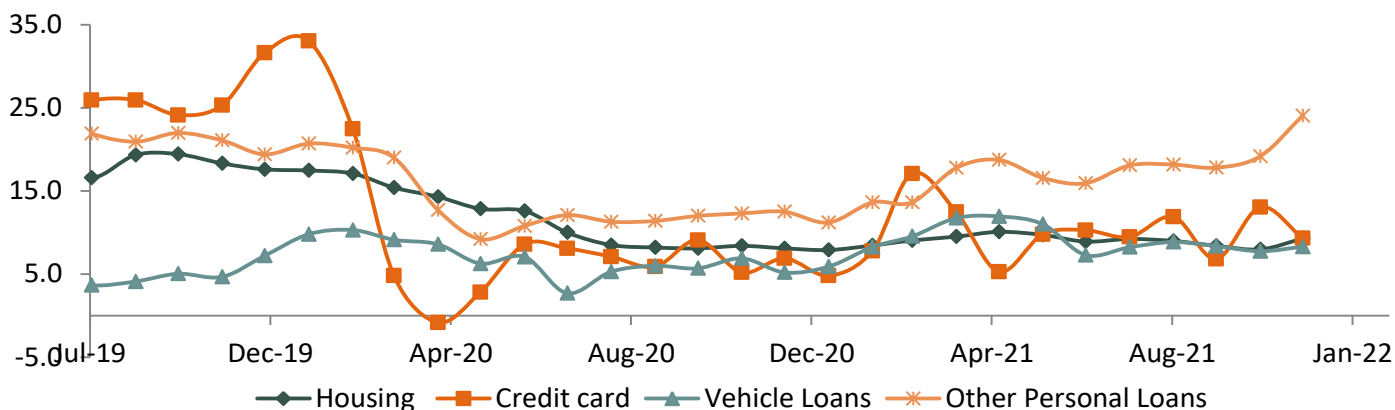
Source: RBI; IDBI Capital Research

Exhibit 6: Agriculture, Industry , Personal Loans and Services showed a downtick in growth trajectory in Jan'22 after sharp rise in Dec'21



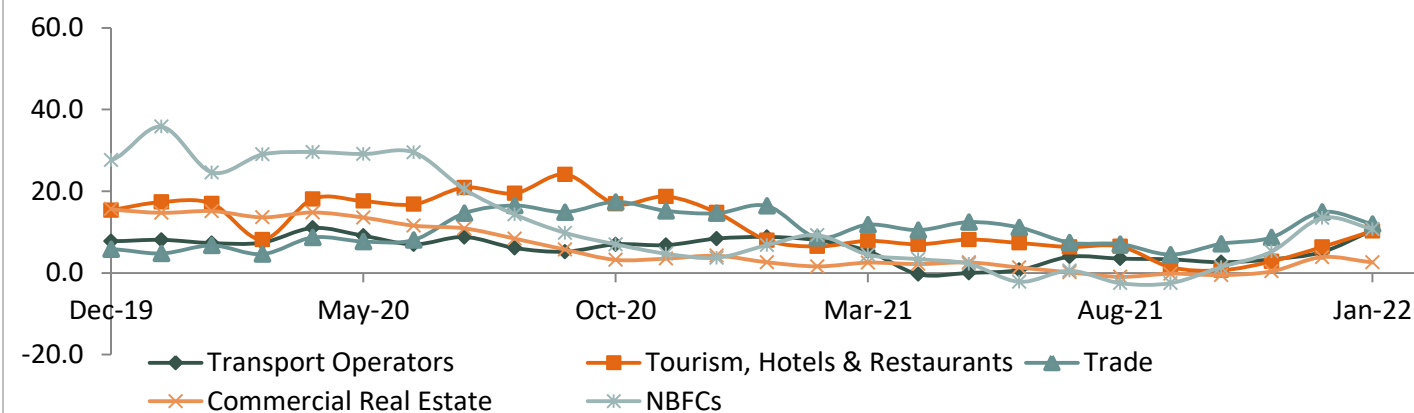
Source: RBI; IDBI Capital Research

Exhibit 7: Credit Cards posted 370 bps decline in growth, with all other segments also posting slower growth in Jan'22



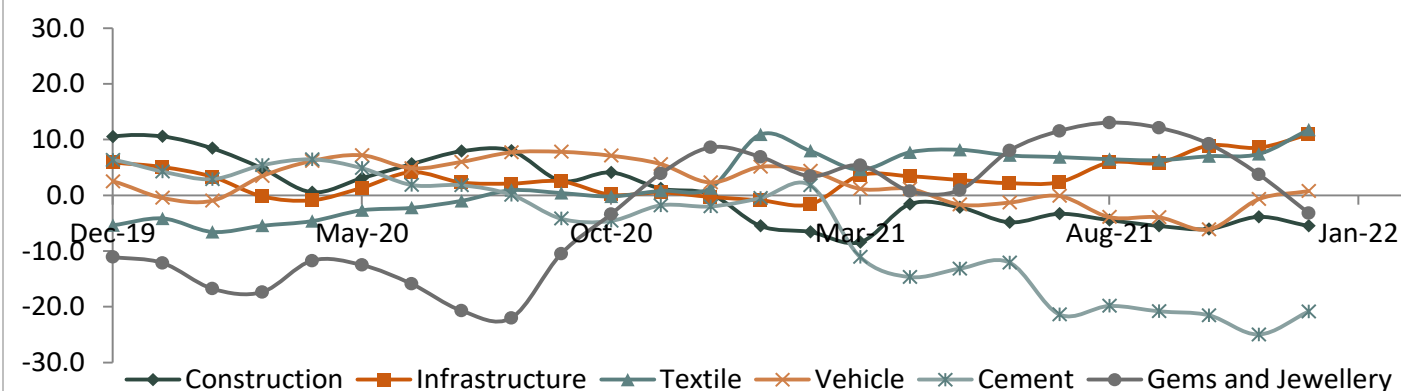
Source: RBI; IDBI Capital Research

Exhibit 8: Transport and tourism segment posted higher than double digit growth along with downtick in credit growth in other segments

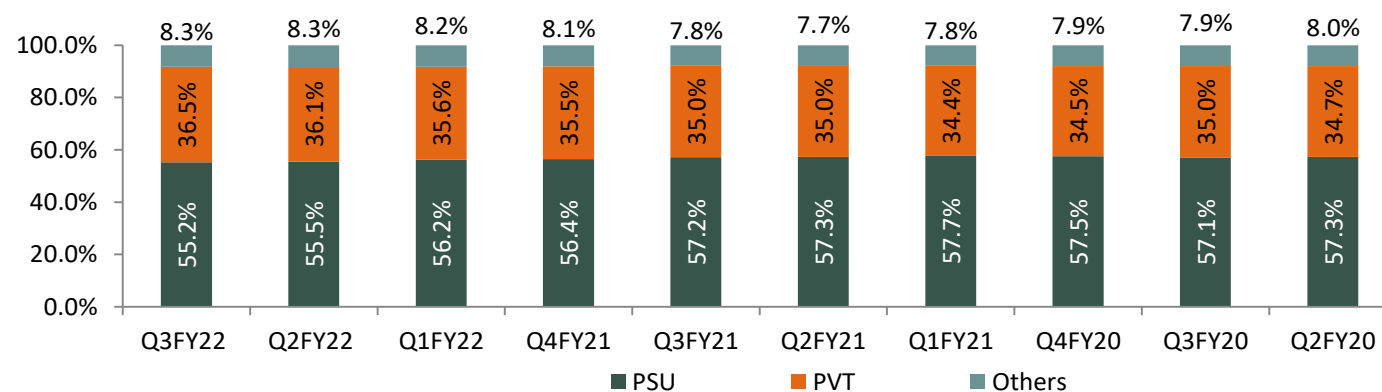


Source: RBI; IDBI Capital Research

Exhibit 9: Infrastructure, Vehicles and Gems and Jewellery showed healthy growth momentum

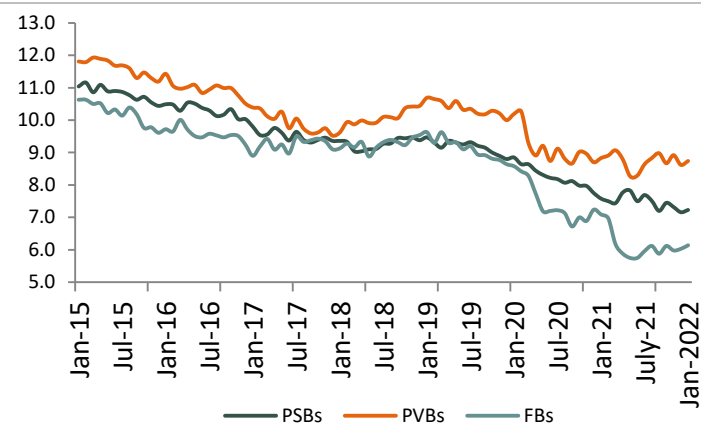


Source: RBI; IDBI Capital Research

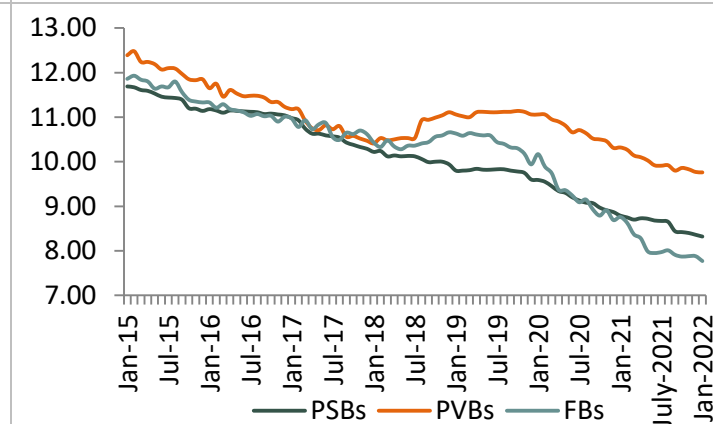
Exhibit 10: Market Share within the Banking Sector.

Source: RBI; IDBI Capital Research; Note- Deposit growth is on fortnight basis

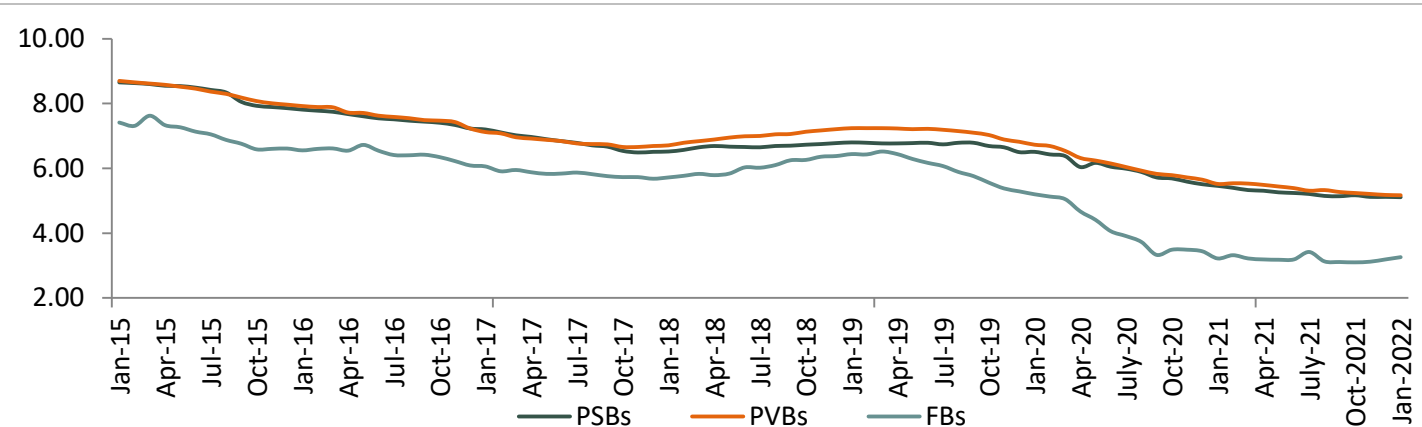
The market share for the private sector Banks have been steadily increasing over the quarters as seen in the illustration. We believe as there has been a consolidation of Public Sector Banks and the Private peers continue to outperform with respect to credit growth along with rigorous focus on the asset quality.

Exhibit 11: Weighted Average Lending Rates (WALR) (On Fresh Rupee Loans Sanctioned)

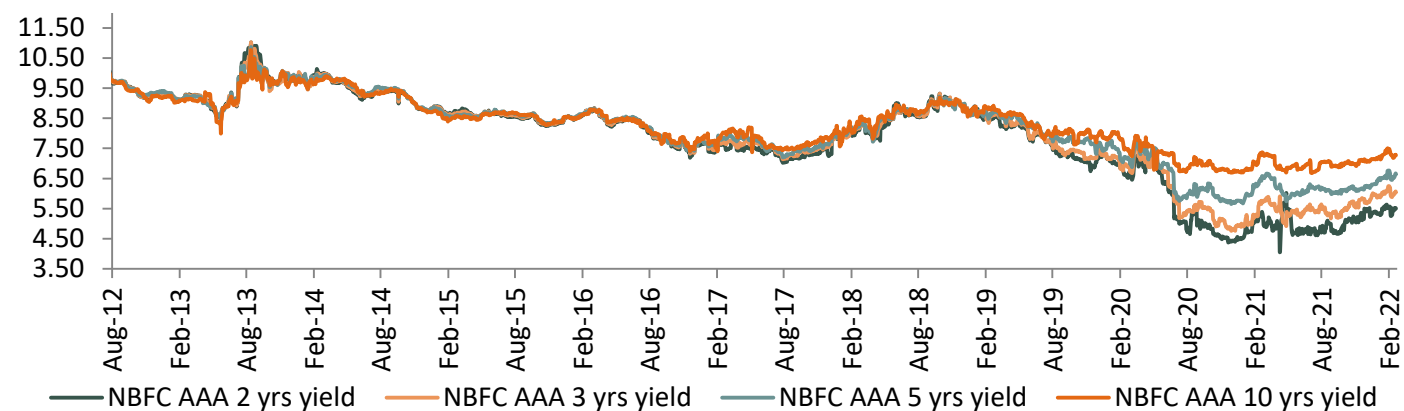
Source: RBI; IDBI Capital Research

Exhibit 12: Weighted Average Lending Rates (WALR) (On Outstanding Rupee Loans)

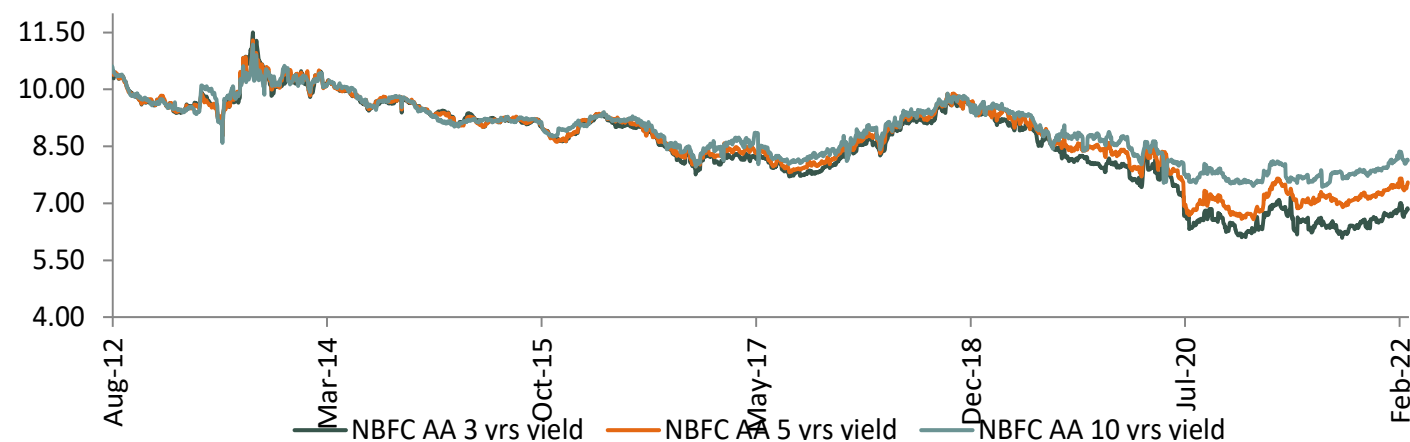
Source: RBI; IDBI Capital Research

Exhibit 13: Weighted Average Domestic Term Deposit Rates (WADTDR) (Outstanding Rupee Term Deposits)

Source: RBI; IDBI Capital Research

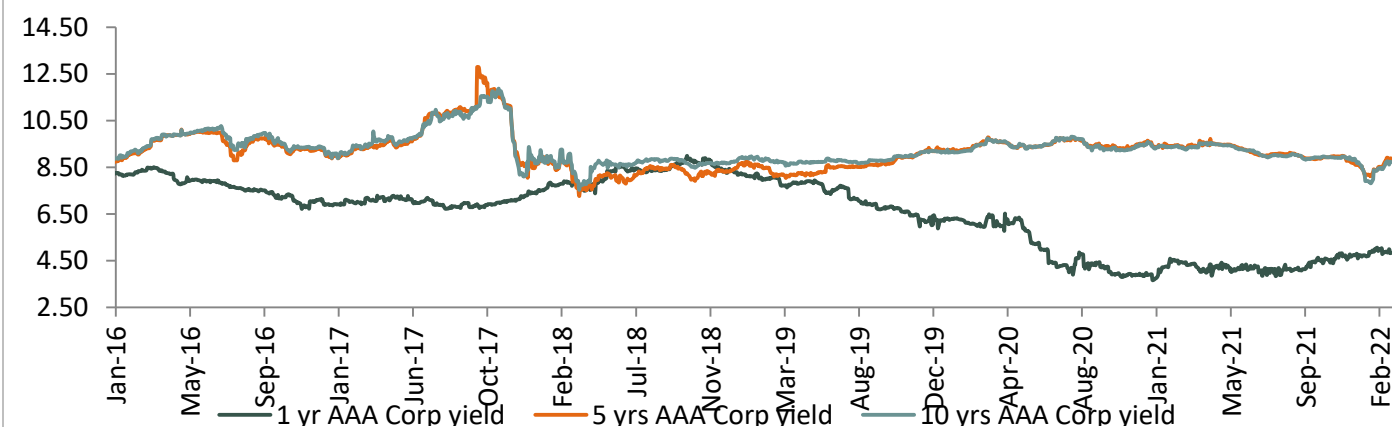
Exhibit 14: NBFC AAA yields- from Jan'21 onwards 5yrs yield seen hardening by 95 bps and 10yrs yield of 57 bps

Source: Bloomberg; IDBI Capital Research

Exhibit 15: NBFC AA yields- from Jan'21 onwards 5yrs yield seen hardening by 84 bps and 10yrs yield of 59 bps

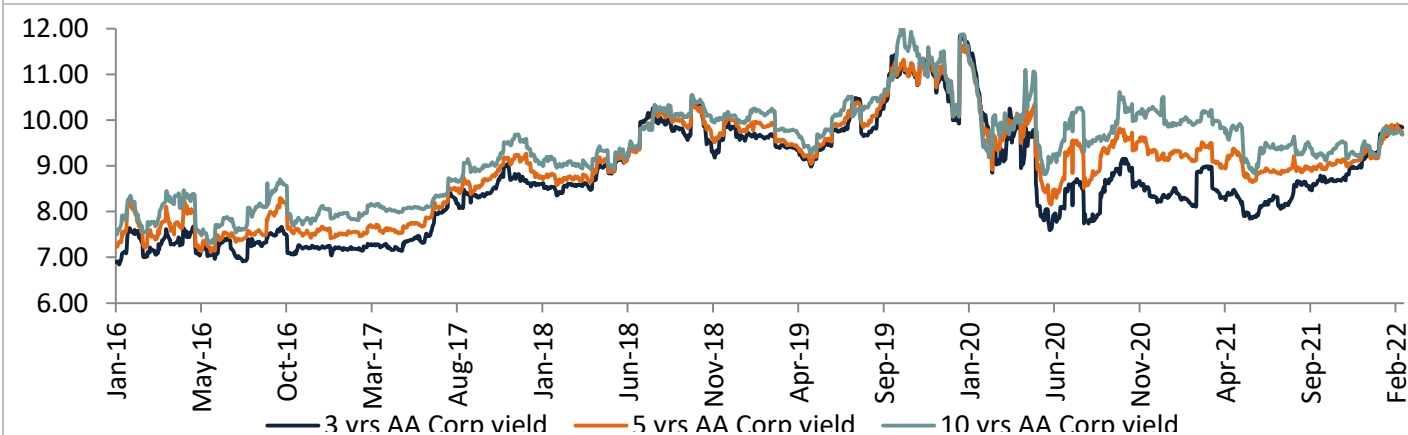
Source: Bloomberg; IDBI Capital Research

Exhibit 16: Corporate bond AAA yields- from Jan'21 onwards 5yrs yield hardens by 103 bps and 10yrs yield by 56 bps



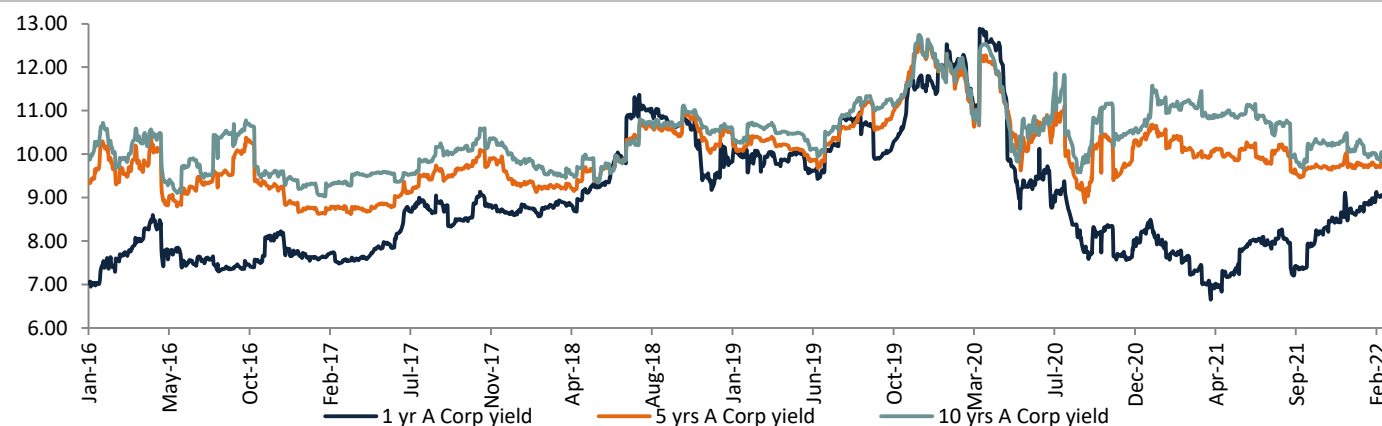
Source: Bloomberg; IDBI Capital Research

Exhibit 17: Corporate bond AA yields- from Jan'21 onwards 5yrs yield surge by 94 bps and 10yrs yield by 59 bps



Source: Bloomberg; IDBI Capital Research

Exhibit 18: Corporate bond A yields- from Jan'21 onwards 5yrs yield surge by 105 bps and 10yrs yield by 89 bps.

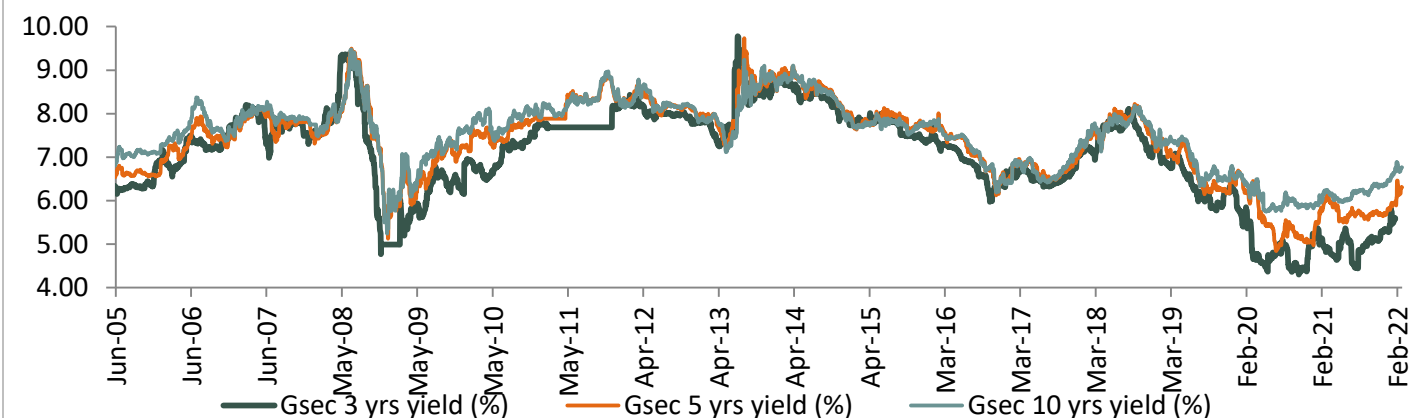


Source: Bloomberg; IDBI Capital Research

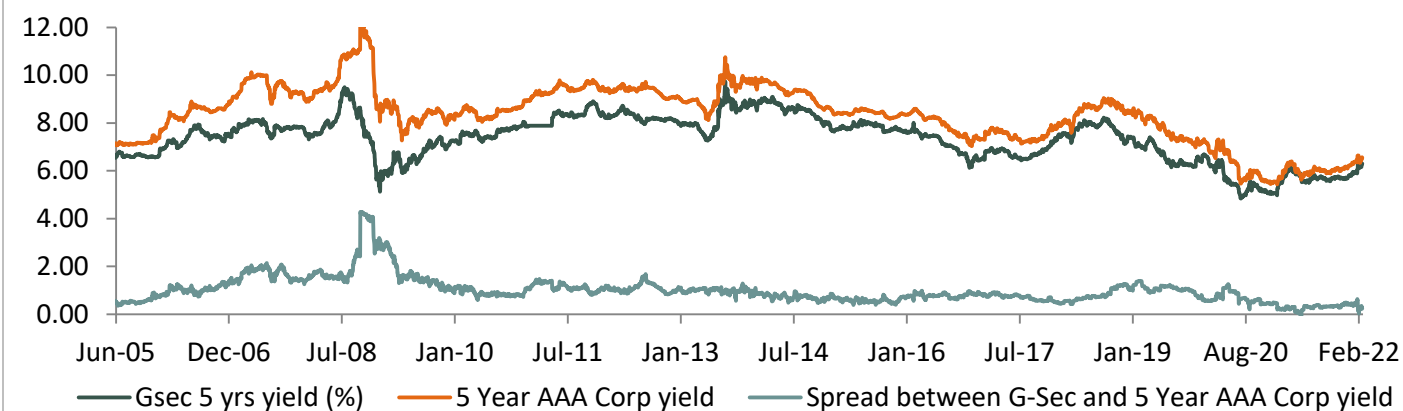
Exhibit 19: Corporate bond BBB yields- from Jan'21 onwards 5yrs yield surge by 40 bps.



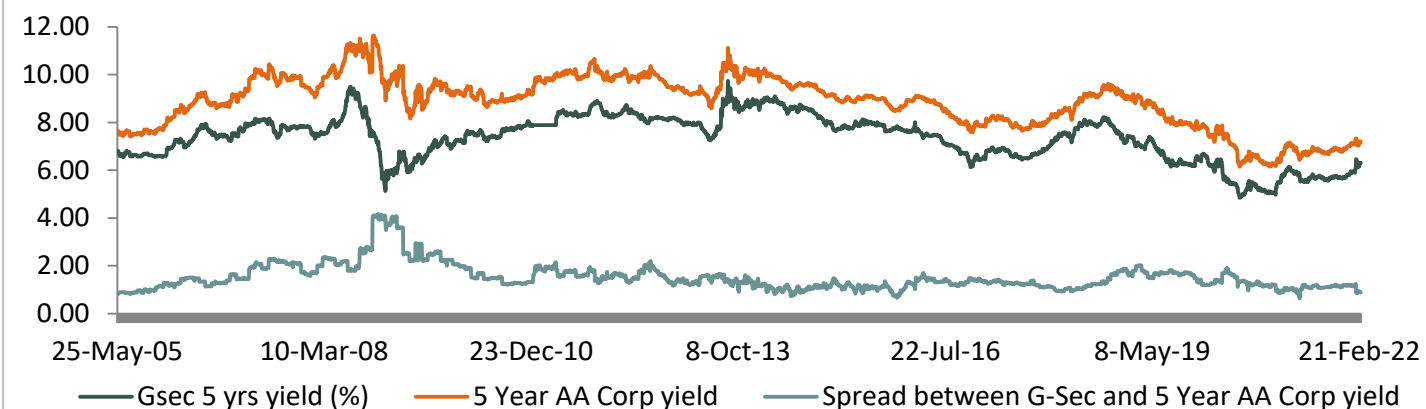
Source: Bloomberg; IDBI Capital Research

Exhibit 20: G-sec yield- from Jan'21 onwards 10yrs yield hardens by 74bps

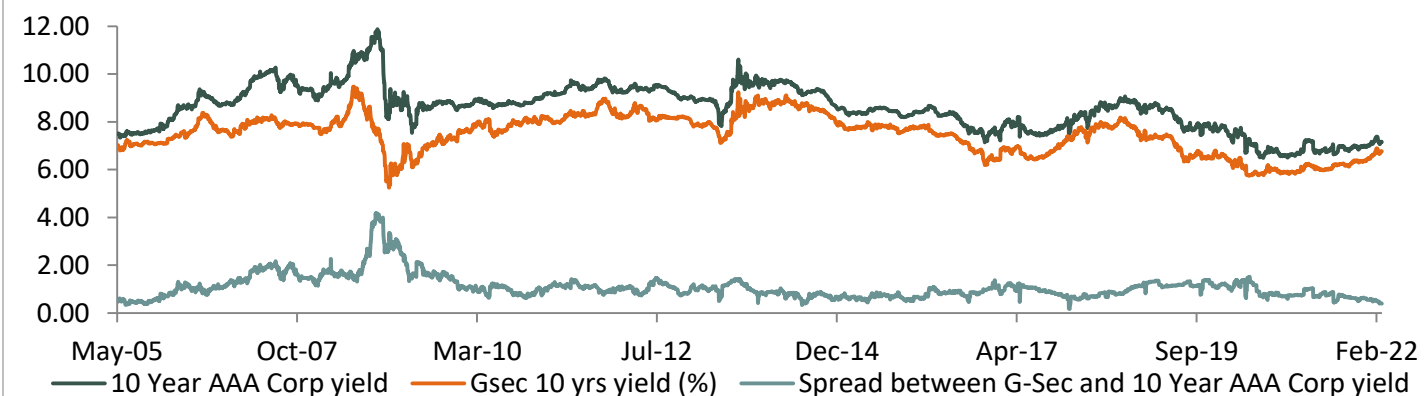
Source: Bloomberg; IDBI Capital Research

Exhibit 21: Spread between G-Sec and 5 Year AAA Corp yield

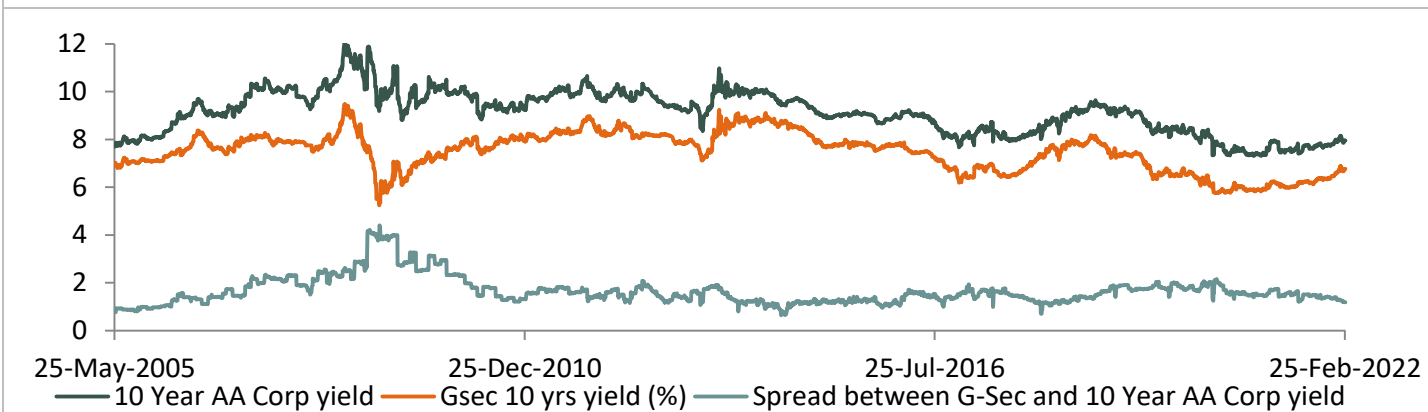
Source: Bloomberg; IDBI Capital Research

Exhibit 22: Spread between G-Sec and 5 Year AA Corp yield

Source: Bloomberg; IDBI Capital Research

Exhibit 23: Spread between G-Sec and 10 Year AAA Corp yield

Source: Bloomberg; IDBI Capital Research

Exhibit 24: Spread between G-Sec and 10 Year AA Corp yield

Source: Bloomberg; IDBI Capital Research

Exhibit 25: Corporate bond Raised by NBFCs on MoM basis

NBFCs (Rs in Bn)	Feb-21	Mar-21	Apr-21	May-21	June-21	July-21	Aug-21	Sept-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22
HDFC	-	32.5	-	70.0	20.0	-	-	115.0	20.0	30.0	125.0	-	20.0
LIC HF	8.0	65.8	-	11.1	3.2	-	-	39.8	6.8	27.0	24.0	-	23.6
PNB HF	-	-	-	-	1.3	-	-	3.3	3.3	-	-	-	-
Shriram Transport	1.5	32.0	3.0	0.5	18.3	-	-	1.5	-	21.0	2.8	70.8	17.8
Cholafin	9.1	1.0	-	8.5	0.4	3.3	4.0	2.8	2.0	-	10.0	-	8.5
Sundaram Finance	-	7.0	-	14.5	2.5	5.0	-	8.0	-	10.0	-	-	-
Shriram City Union	1.1	9.9	-	-	1.0	1.5	2.6	10.4	-	3.0	6.0	-	6.2
Muthoot Finance	-	1.8	17.0	3.0	-	-	4.0	-	-	-	-	-	7.0
Manappuram Finance	-	-	-	-	-	-	-	-	-	-	5.0	5.0	-
Bajaj Finance	-	26.5	1.2	20.0	-	-	8.5	-	-	-	9.3	-	49.2
M&M Financial	-	-	-	-	8.3	15.8	-	-	-	3.8	-	3.0	8.0
Piramal Enterprise	-	-	-	-	3.7	1.0	-	4.0	-	-	-	-	-
L&T Finance	-	8.0	-	10.0	-	-	5.0	0.8	-	2.2	4.5	-	5.7
Indiabulls Housing	-	10.9	-	-	-	-	-	50.2	-	-	10.0	15.5	-

Source: Bloomberg; IDBI Capital Research

Exhibit 26: Valuation Metric of Coverage Universe

	Market Cap (Rs Bn)	CMP (Rs)	TP (Rs)		NII (Rs bn)		Op Pft (Rs bn)		PAT (Rs bn)		EPS (Rs)		ABVPS (Rs)		PER (x)		P/ABV (x)		ROA (%)		ROE (%)	
				Reco	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E	FY23E	FY24E
Banks																						
Axis Bank	2,279	743	990	BUY	387	432	334	372	176	202	57	66	404	462	12.9	11.3	1.8	1.6	1.5	1.6	14.4	14.4
DCB Bank	23	73	107	BUY	15	17	9	10	4	4	12	14	124	136	5.9	5.1	0.6	0.5	0.9	0.9	9.1	9.8
Federal Bank	204	97	123	BUY	67	75	44	51	24	29	11	14	94	105	8.5	7.0	1.0	0.9	1.0	1.1	12.2	13.4
HDFC Bank	7,909	1427	2,020	BUY	846	1,002	751	893	438	520	79	94	498	576	18.1	15.2	2.9	2.5	2.0	2.1	16.7	17.3
IndusInd Bank	713	921	1,300	BUY	171	197	140	165	75	86	96	111	695	800	9.6	8.3	1.3	1.2	1.8	1.8	14.4	14.4
ICICI Bank	5,158	742	950	BUY	546	630	470	557	258	311	37	45	284	354	19.9	16.5	2.6	2.1	1.7	1.8	13.2	13.3
Housing Finance																						
HDFC	4,285	2365	3,250	BUY	197	223	219	249	156	178	87	99	672	738	27.3	23.9	3.5	3.2	2.3	2.3	12.7	13.2
Repco Home Fin	12	190	360	BUY	6	6	5	5	3	3	47	51	353	400	4.1	3.8	0.5	0.5	2.3	2.4	12.1	11.7
Gold Finance																						
Manappuram Fin	96	115	200	BUY	40	46	24	27	15	18	17	21	107	123	6.7	5.6	1.1	0.9	4.1	4.4	16.7	17.7
Muthoot Fin	547	1363	1,700	BUY	81	90	58	64	42	46	105	116	496	599	13.0	11.8	2.7	2.3	6.0	6.0	21.9	20.3
Vehicle Finance																						
Cholafin	567	692	720	HOLD	54	63	39	47	25	30	31	37	140	174	22.5	18.8	4.9	4.0	3.0	3.1	20.0	19.8

Source: Bloomberg; IDBI Capital Research



Notes

Dealing

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